The National Digital Communications Policy (NDCP-2018) also seeks to encourage investment in and manufacturing of telecom and IT hardware products. Further, PLI schemes in non-electronic sectors—like medical devices, telecom and networking products, air-conditioners—also heavily rely on digital chips and other electronic components.

There are two major strategies to develop digital manufacturing. First, develop new and competitive digital technologies for digital devices and the digitalization of non-digital products and devices to be the leading supplier of such products globally. Second, encourage global technology majors to come and set up their manufacturing facilities in India. Of course, there can be a combination of both strategies as well.

Currently, Indian firms are not frontrunners in development of new digital technologies. India also does not have a good digital manufacturing base. The National Electronics Policy and PLIs are trying to encourage global companies to establish a manufacturing base for digital hardware products.

The PLI Policy can definitely be used creatively and decisively to help India establish a digital products manufacturing base in India if properly crafted and implemented recognizing our limitations and objectives. Two major strategies will work:

First, it will help to restructure all the PLI schemes that focus on products using semiconductor products as their ultimate competitive proposition into one PLI focused on manufacturing of semiconductor chips, modules or other needed forms of digital products. This would require discontinuation of separate schemes for renewables, air-conditioners, medical devices and so on. To achieve this objective, it would be necessary to invite the global enterprises that have developed and own digital technologies and Indian corporates that can get these digital technologies in joint ventures or otherwise to India. The policy should focus on getting these technology majors and Indian firms to bring their technologies to